ITACL

IT Application in Cyber Laws

COMPLETE EXAM PREPARATION — ALL 5 UNITS

Most Important Questions | 2025–26 | Vidyalankar School of Information Technology

HOW TO USE THIS DOCUMENT

This document covers the most important questions from all 5 units of ITACL based on the graded question bank. RED = highest priority. ORANGE = high probability. Learn the RED questions first — these are guaranteed based on the question bank patterns.

UNIT 1 — Cyber Crime & IT Act 2000

Section 80 · Cognizable/Non-Cognizable · Cyber Crimes · Penalties · FIR

Most Important Questions | Based on Graded Question Bank Analysis | 2025-26

TIER 1 — HIGHEST PRIORITY | In graded question bank

Q1. What is Cyber Crime? Explain different strategies to tackle cybercrimes and trends.

★ EXAM TIP: Directly in graded question bank Q3. Know the definition, peculiar characteristics, and strategies clearly.

Definition of Cyber Crime

Cyber Crime can be defined as an act of commission or omission, committed on or through or with the help of or connected with the internet, directly or indirectly, which is prohibited by any law and for which punishment — monetary and/or corporal — is provided. The IT Act 2000 does not define 'cyber crime' but provides punishments for specific offences.

Types of Cyber Crime

Type	Description	Example
Old crimes on new medium	Traditional crimes committed using the internet	Cheating, fraud, defamation, pornography done online
New crimes of the internet	Crimes unique to the internet — did not exist before	Hacking, planting viruses, IP theft
New crimes enabling old crimes	New tech used to commit old offences	Hacking used to carry out cyber fraud

Peculiar Characteristics of Cyber Crime

- **Technology-based:**Weapons used are computer systems, networks, and software.
- **No geographical limits:**Crimes cross borders instantly — a criminal in Mumbai can hack a server in the US.
- **Operates in no time:**Cyber crime is extremely fast — a virus can spread worldwide in 2 hours.
- **Invisibility:**The criminal operates in cyberspace making them almost invisible and hard to detect.
- **Massive potential harm:**Crimes can cause financial, reputational, or national security damage of unimaginable scale.
- **Difficult to prove:**Collecting digital evidence and proving it in court is complex and time-consuming.
- **Weapons freely available:**Tools for committing cyber crime are available freely on the internet and in CDs.

Strategies to Tackle Cyber Crime

- **Technical expertise:**Cyber cops must be at least half IT engineers — need technical training to investigate.
- **Technical tools:**Use trace-and-trap devices, forensic tools, and encryption analysis software.
- **International cooperation:**Cross-border crimes require cooperation between law enforcement agencies of different countries.
- **Extradition laws:**Effective extradition laws needed to bring cyber criminals across borders to trial.
- **Encryption & security:**Most effective weapon is use of encryption and security technologies.
- **Industry responsibility:**IT industry must protect its own systems using secure technologies — not rely only on law.
- **Government R&D support:**Government should fund research into new security technologies and cyber crime prevention.
- **Reporting culture:**Cyber crimes are under-reported due to fear of losing customer confidence — must change.

TIER 1 — HIGHEST PRIORITY | In graded question bank

Q2. Justify: 'Section 80 of IT Act 2000 — A Weapon or a Farce?'

> ★ **EXAM TIP: Graded Q1. Explain what Section 80 says, its limitations, and why it is considered a farce.**

What is Section 80 of IT Act 2000?

Section 80 empowers a police officer not below the rank of Deputy Superintendent of Police (DSP) to enter any PUBLIC PLACE and search and arrest WITHOUT WARRANT any person who is reasonably suspected of having committed, or committing, or being about to commit any offence under the IT Act.

Three Grounds of Arrest under Section 80

- **Of having committed:**The offence has already been committed.
- **Of committing:**The person is in the act of committing the offence.
- **Of being about to commit:**The offence has not yet occurred but is imminent.

Why Section 80 is a FARCE — Limitations

- **Public place only:**The power of arrest without warrant is restricted to PUBLIC PLACES. If a person commits a crime at home and stays home, they CANNOT be arrested without warrant — making law enforcement ineffective.
- **Cyber crimes are committed from private places:**Most hacking, fraud, and cyber crimes are done from homes, offices — NOT public places.
- **About to commit — vague:**A person simply searching for information about hacking online could be arrested for 'about to commit' — dangerously vague.
- **Nature of internet ignored:**Section 80 ignores the borderless, instantaneous nature of the internet — by the time police arrive, the criminal may have left.
- **Example:**If a person hacks a Delhi defense website from a Mumbai cyber café and then goes home, they CANNOT be arrested without warrant at home.

Recommended Amendments

- Delete the word 'public' — allow arrest from any place, public or private.
- Substitute 'any offence' with 'any cognizable offence' — to prevent misuse.
- Technical expert must accompany lower-ranking officers for arrest.

TIER 1 — HIGHEST PRIORITY | In graded question bank

Q3. Explain Cognizable and Non-Cognizable offences. Explain FIR process.

> **★ EXAM TIP: Graded Q2, Q5, Q6, Q14 — very frequently asked. Know the difference table and FIR process.**

Aspect	Cognizable Offence	Non-Cognizable Offence
Definition	Police officer CAN arrest without warrant	Police officer CANNOT arrest without warrant
First step	FIR (First Information Report) is registered	Complaint is filed in court of Magistrate
Who prosecutes	State acts as prosecutor; victim is witness	Victim files complaint to Magistrate
Police power	Can investigate without court order	Cannot investigate without Magistrate's permission
Examples	Hacking, cyber fraud, planting virus	Minor online disputes, simple defamation

Process of Registering an FIR

- **Step 1:**Informant reports cognizable offence to officer-in-charge of nearest police station ORALLY.
- **Step 2:**Officer reduces information to WRITING and reads it back to the informant.
- **Step 3:**Informant SIGNS the written statement. It is entered in the police station book.
- **Step 4:**A FREE COPY of the FIR is given to the informant.
- **Step 5:**If officer refuses to record the FIR, informant can send it in writing to Superintendent of Police.

Investigation Process (Cognizable Offence)

- Officer can investigate without magistrate's order.
- Can proceed to the place of offence and collect evidence.
- Has power to summon persons who appear to be involved.
- After investigation: files Charge Sheet / Police Report → Prosecution evidence → Defence evidence → Judgment.

TIER 1 — HIGHEST PRIORITY | In graded question bank

Q4. Explain Penalties, Adjudication and Appeals under the IT Act 2000.

> ★ **EXAM TIP: Graded Q15. Know the compensation amounts, adjudication process, and appeal hierarchy.**

Monetary Compensation (Section 43)

Any person who without permission accesses, downloads, introduces virus, damages, disrupts, or denies access to a computer system shall pay compensation NOT EXCEEDING Rs. 1 CRORE to the affected person.

Key Penalties Under IT Act 2000

Offence	Punishment
Hacking (Section 66)	Imprisonment up to 3 years OR fine up to Rs. 2 lakh OR both
Cyber Pornography (Section 67)	First conviction: 5 years + Rs. 1 lakh fine; Second conviction: 10 years + Rs. 2 lakh fine
Tampering with source code	Imprisonment up to 3 years OR fine up to Rs. 2 lakh OR both
Accessing protected system	Imprisonment up to 10 years + fine
Breach of confidentiality/privacy	Imprisonment up to 2 years OR fine up to Rs. 1 lakh OR both
Failure to furnish documents to Controller	Fine not exceeding Rs. 1.5 lakh per failure
Failure to file returns within stipulated time	Fine up to Rs. 5,000 per day of default
Any contravention without specific penalty (Section 45)	Compensation up to Rs. 25,000 to affected person

Adjudication Process

- An Adjudicating Officer is appointed by the Central Government to adjudicate disputes under IT Act.
- The officer holds an inquiry and decides the amount of compensation payable.
- Must be or have been a member of the Indian Legal Service.

Appeals

- Appeals from the Adjudicating Officer go to the Cyber Appellate Tribunal (CAT).
- Appeals from CAT go to the High Court.

TIER 1 — HIGH PRIORITY | In graded question bank

Q5. Discuss Defamation, Harassment and Email Abuse under cyber law.

> ★ **EXAM TIP: Graded Q8 and Q11. Know the definition, 10 exceptions to defamation, and punishment.**

Defamation

The common meaning of defamation is injury done to the reputation of somebody. It is a criminal offence under IPC. Defamation is committed by: (1) Making or publishing an imputation concerning a person, (2) With the intent to harm or knowing it will harm the person's reputation, (3) By words spoken, written, signs, or visible representations.

Key Exceptions to Defamation (NOT an offence if)

- **True and for public good:**A true statement about a person is not defamatory if it is in the public's interest.
- **Good faith opinion on public figure:**Opinion in good faith about conduct of public servants in discharge of duty.
- **Court proceedings:**Publishing a substantially true report of court proceedings.
- **Merit of case:**Good faith opinion on merits of a civil or criminal case.
- **Literary merit:**Critical opinion on a book, performance, or art that the author has submitted for public judgment.

Email Abuse & Harassment

- Sending threatening, obscene, or offensive emails to harass a person constitutes email abuse.
- Under Section 67 IT Act: publishing obscene material electronically is punishable with up to 5 years imprisonment.
- Repeated unsolicited emails (spam) can also constitute harassment under IPC provisions.

TIER 1 — HIGH PRIORITY | In graded question bank

Q6. Discuss Cyber Pornography. What are its causes and legal provisions?

Why Cyber Pornography Has Become Widespread

- Easy, free, anonymous, and convenient access to pornographic material through the internet.
- Anonymity of the industry — operators are unknown and difficult to trace.
- Global accessibility — content hosted in one country is accessible everywhere.
- Problems of jurisdiction — different laws and moral standards in different countries.
- Difficulty of enforcement — content removed in one country appears in another.

Legal Provisions

Section 67 of the IT Act defines and punishes obscenity in electronic form: 'Whoever publishes or transmits or causes to be published in electronic form any material which is lascivious or appeals to the prurient interest... shall be punished.'

Conviction	Punishment
First conviction	Imprisonment up to 5 years + fine up to Rs. 1 lakh
Second/subsequent conviction	Imprisonment up to 10 years + fine up to Rs. 2 lakh

TIER 1 — HIGH PRIORITY | In graded question bank

Q7. Define Hacker. Explain types of hackers. Discuss Teenage Web Vandals.

Definition of Hacker

A hacker is a person who gains unauthorized access to computer systems, networks, or data. The term has two meanings: (1) Old definition: a computer enthusiast who enjoys programming. (2) Modern definition: a person who breaks into computer systems without authorization.

Types of Hackers

Type	Description
Code Hackers	Have deep knowledge of computer systems and their intricate operations
Phreakers	Have deep knowledge of internet and telecommunication systems
Cyber-punks	Specialise in cryptography and data encryption/decryption
Crackers	Specifically break into computer security systems for malicious purposes

Four Types of Hacking

- Hacking for fun — as a hobby, with no malicious intent.
- To damage business — disrupting company websites, portals, and data.
- To commit further offences — hacking as a tool for fraud and misappropriation.
- Ethical hacking — by security companies to test their clients' systems.

Teenage Web Vandals — Motivating Factors

- **Fame and publicity:**Global reach of the internet makes vandalism known worldwide instantly.
- **Sense of achievement:**Excitement of 'making a difference' in the world — a feeling of power.
- **Lack of sensitivity:**Do not understand or care about the consequences of defacing websites.
- **Internet obsession:**Programming skills not channeled productively become tools of vandalism.
- **Lack of fear:**Considered a risk-free adventure — no fear of law enforcement.
- **Easy tools:**Cheap and freely available hacking tools lower the barrier to entry.

UNIT 2 — Contracts & Jurisdiction in Cyber World

Indian Contract Act · E-Contracts · Click-Wrap · Shrink-Wrap · Civil Jurisdiction

Most Important Questions | Based on Graded Question Bank Analysis | 2025-26

TIER 1 — HIGHEST PRIORITY | In graded question bank

Q1. What is a Contract? Explain the seven essential elements of a valid contract.

> ★ **EXAM TIP: Graded Q1. Section 2(h) of Indian Contract Act 1872 defines contract. Know all 7 elements.**

Definition

Under Section 2(h) of the Indian Contract Act, 1872: 'A contract is an agreement which is enforceable by law.' Simply put: Contract = Agreement + Enforceability by Law.

Seven Essential Elements of a Valid Contract

Element	Description	Example
1. Offer (Proposal)	One party makes a definite proposal to another — a willingness to do or abstain from doing something	'I will sell you my laptop for Rs. 30,000'
2. Acceptance	The other party signifies assent to the offer exactly as made — acceptance must be unconditional	'I accept to buy your laptop for Rs. 30,000'
3. Consideration	Something of value exchanged between the parties — price paid for the promise	Rs. 30,000 paid for the laptop
4. Capacity (Competency)	Parties must be of legal age (18+), of sound mind, and not disqualified by law	A minor cannot enter a valid contract
5. Free Consent	Consent must be free — not obtained by coercion, undue influence, fraud, or misrepresentation	Signing under threat is NOT free consent
6. Lawful Object	The purpose of the contract must not be illegal, immoral, or against public policy	A contract to commit a crime is void
7. Legal Formalities	Some contracts require written form, registration, or stamping as prescribed by law	Property sale must be registered under Registration Act

TIER 1 — HIGHEST PRIORITY | In graded question bank

Q2. What is a Click-Wrap Contract? How is it different from a Shrink-Wrap Contract?

> ★ **EXAM TIP: Graded Q7. Both types appear in the question bank. Know definitions and key differences.**

Click-Wrap Contract

A Click-Wrap contract is an online agreement where the user signifies acceptance of terms and conditions by clicking 'I Accept', 'I Agree', or similar buttons on a website. The user must click to proceed — no click = no contract.

How Click-Wrap Works

- Website posts terms and conditions for goods/services.
- User reads (or scrolls through) the terms.
- User clicks 'I Accept' or 'I Agree' button.
- By clicking, a legally binding contract is formed.
- Best practice: two-step confirmation — first click 'I Accept', then click 'I Confirm' to avoid accidental acceptance.

Shrink-Wrap Contract

A Shrink-Wrap contract is a license agreement that is enclosed inside a software package box. The user is deemed to have accepted the terms by opening/unwrapping the box or by installing and using the software. The terms are often only visible AFTER purchase.

Aspect	Click-Wrap Contract	Shrink-Wrap Contract
Medium	Online — on websites and apps	Physical — inside software boxes
Acceptance	Clicking 'I Accept' button	Opening the package / installing software
When terms are seen	Before accepting — on screen	Often after purchase — inside the box
Enforceability	Generally upheld if terms are clear	Sometimes challenged as terms seen after purchase
Example	Signing up for Gmail — clicking 'I agree'	Microsoft Office license agreement inside the box

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TIER 1 — HIGHEST PRIORITY | In graded question bank

Q3. Explain the scope of Civil Law of Jurisdiction in India.

> ★ **EXAM TIP: Graded Q4. Know the three types of jurisdiction and how cause of action determines jurisdiction.**

Three Types of Civil Jurisdiction

Type	Description	Basis
Pecuniary Jurisdiction	Based on monetary value of the dispute — different courts handle different value ranges	Civil court: up to Rs. 1 crore; High Court: above Rs. 1 crore

Type	Description	Basis
Subject Matter Jurisdiction	Certain courts have exclusive jurisdiction over specific topics — regardless of monetary value	Family courts handle matrimonial disputes only; consumer forums handle consumer complaints
Territorial Jurisdiction	Based on geographical location — which court has authority based on where the parties are or where the dispute arose	CPC Section 16-20 defines territorial jurisdiction

Key CPC Provisions on Territorial Jurisdiction

- **Section 16:**Suit on immovable property filed where property is situated.
- **Section 19:**Suit for wrong to person/movables — filed where wrong was done OR where defendant resides.
- **Section 20:**Suit can be filed where: defendant resides, carries on business, or where cause of action arises.

Cause of Action

'Cause of action' means the set of facts which give a person the legal right to seek judicial relief. In contractual disputes, cause of action arises at: (1) Place where contract was made, (2) Place where contract should have been performed, (3) Place where breach occurred.

TIER 1 — HIGH PRIORITY | In graded question bank

Q4. Explain contract formation on the Internet. What are elements of E-Contracts?

> ★ **EXAM TIP: Graded Q8 and Q11. Know Section 13 of IT Act and the key elements of e-contracts.**

Contract Formation on the Internet

Section 13 of the IT Act, 2000 governs time and place of dispatch and receipt of electronic records — critical for determining when and where an e-contract is formed.

Provision	Rule
Dispatch of e-record	Occurs when electronic record enters a computer resource OUTSIDE the control of the originator
Receipt — designated resource	Receipt occurs when e-record ENTERS the designated computer resource of the addressee
Receipt — no designated resource	Receipt occurs when e-record is RETRIEVED by the addressee
Place of dispatch	Deemed to be dispatched from the originator's place of BUSINESS
Place of receipt	Deemed to be received at the addressee's place of BUSINESS

Elements of E-Contracts

- **Offer:**Posted on a website — product displayed with price = invitation to offer.
- **Acceptance:**User clicks 'Buy Now' or 'I Accept' = acceptance.
- **Consideration:**Payment made electronically = consideration.
- **Capacity:**User must be legally competent (age 18+, sound mind).
- **Free consent:**Click-wrap acceptance — must be voluntary, not coerced.
- **Lawful object:**The goods/services must be legal.

TIER 1 — HIGH PRIORITY | In graded question bank

Q5. What is an IPR Dispute? Explain common types of Intellectual Property Rights disputes.

What is IPR?

Intellectual Property Rights (IPR) are legal rights that protect creations of the mind — inventions, literary works, designs, symbols, and names. IPR disputes arise when one party uses another's intellectual property without permission.

Type of IPR	What it Protects	Common Dispute
Copyright	Original literary, artistic, musical, software works	Unauthorized copying, reproduction, distribution of software or content
Trademark	Brand names, logos, symbols used in commerce	Cybersquatting — registering a domain name identical to a trademark
Patent	Inventions and technical innovations	Unauthorized use or reproduction of a patented technology
Trade Secrets	Confidential business information — formulas, processes	Employee leaking company's proprietary code or formula

Place of Cause of Action in IPR Disputes

- In copyright cases, cause of action arises where infringement occurred or where the infringed work was used/distributed.
- In domain name/trademark disputes, cause of action arises at the trademark owner's place of business.
- ICANN's UDRP (Uniform Domain Name Dispute Resolution Policy) provides an international mechanism for resolving domain name disputes without going to court.

TIER 1 — HIGH PRIORITY | In graded question bank

Q6. Explain Foreign Judgement in India. What is the validity of the present law of jurisdiction?

Foreign Judgement in India — Section 13 CPC

A foreign judgement is conclusive on matters directly adjudicated between the parties EXCEPT in the following cases where it has NO applicability in India:

- Not pronounced by a court of competent jurisdiction.
- Not delivered on the merits of the case.
- Founded on an incorrect view of international law.
- Refusal to recognize applicable Indian law.
- Proceedings in violation of Principles of Natural Justice (no fair hearing, or biased).
- Foreign judgement sustains a claim in breach of any Indian law.

Validity of Present Law of Jurisdiction — Challenges

- The risk of websites facing litigation in foreign countries — causing extreme hardship.
- Inconsistent court decisions on how jurisdiction law applies to the cyber world.
- Every consumer anywhere in the world can be reached by a website — creating universal exposure to lawsuits.
- Global actions on websites invite visitors from different countries — jurisdiction becomes complex.

TIER 1 — HIGH PRIORITY | In graded question bank

Q7. Explain different types of contracts and terms and conditions of contracts.

Types of Contracts

Type	Description
Express Contract	Terms are explicitly stated — verbally or in writing. Example: Written purchase agreement.
Implied Contract	Terms are inferred from conduct or circumstances. Example: Taking a taxi implies an agreement to pay.
Void Contract	Has no legal effect from the beginning — cannot be enforced. Example: Contract with a minor.
Voidable Contract	Valid but can be cancelled by one party — usually due to coercion, fraud, or misrepresentation.
Unilateral Contract	Only one party makes a promise in exchange for an act. Example: 'I will pay Rs. 500 to whoever finds my lost dog.'
Bilateral Contract	Both parties make mutual promises. Example: Standard sale/purchase agreement.

Terms and Conditions of Contracts

The Indian Contract Act, 1872 grants parties freedom to stipulate their own terms and conditions, provided they are not void under the Act. Common contract terms include:

- Governing Laws and Jurisdiction Clauses — specifying which law and which court governs disputes.
- Limitation of Liability — capping one party's maximum financial liability.
- Non-Disclosure/Confidentiality Clauses — protecting trade secrets and proprietary information.
- Arbitration Clause — requiring disputes to be resolved through arbitration rather than courts.
- Entire Agreement Clause — stating the written contract is the complete agreement, superseding all prior discussions.

- Software License Agreement — governing how software may be used, copied, and distributed.

UNIT 3 — Copyright & Cyber Squatting

Copyright · Domain Names · Cyber Squatting · Software Piracy · Meta-tagging

Most Important Questions | Based on Graded Question Bank Analysis | 2025-26

TIER 1 — HIGHEST PRIORITY | In graded question bank

Q1. What is Cyber Squatting? Explain its legal implications and how it can be prevented.

> ★ **EXAM TIP: Graded Q2, Q6, Q11 — asked multiple times. Know definition, UDRP, ACPA, and preventions.**

What is Cyber Squatting?

Cyber Squatting is the practice of registering, selling, or using a domain name with the deliberate intent of profiting from the goodwill of someone else's well-known trademark or brand. A cyber squatter identifies popular brand names and registers them as domain names, then demands money from the legitimate owner to transfer the domain.

Forms of Cyber Squatting

- Domain name identical to a well-known trademark — e.g., registering 'reliance.com' before Reliance Industries.
- Typo-squatting — slight misspellings — e.g., 'radiff.com' instead of 'rediff.com'.
- Registering under different TLDs — e.g., registering 'infosys.net' when company owns 'infosys.com'.
- Reverse cyber squatting — trying to take away a legitimately registered domain from its owner.

Legal Provisions Against Cyber Squatting

Mechanism	Description
ICANN UDRP (1999)	Uniform Domain Name Dispute Resolution Policy — international arbitration for domain disputes. Complainant must prove: domain is identical/confusingly similar to their trademark; registrant has no legitimate interest; domain registered and used in bad faith.
ACPA — USA (1999)	Anti-Cybersquatting Consumer Protection Act — allows trademark owners to sue for statutory damages of US $1,000 to $100,000 per domain name
NASSCOM Recommendation	Recommended amending Copyright Act to include cyber squatting as a specific offence in India

Prevention

- Proactive registration — register all relevant domain name variations before squatters do.
- File complaint under ICANN UDRP — faster and cheaper than going to court.
- Trademark registration — a registered trademark strengthens UDRP complaint.

Q2. What is Copyright? What works does copyright protect? Explain copyright infringement and remedies.

> ★ **EXAM TIP: Graded Q9, Q13. Know what works copyright covers, what constitutes infringement, and all 3 types of remedies.**

What is Copyright?

Copyright is a legal right that grants the creator of an original work exclusive rights to use and distribute that work. Copyright protects the expression of ideas (not the ideas themselves) and exists automatically upon creation — no registration required in India under the Copyright Act, 1957.

Works in Which Copyright Subsists

Category	Examples
Literary works	Books, articles, computer programs, source code, databases, compilations
Dramatic works	Scripts, screenplays, choreography, dance compositions
Musical works	Musical compositions (notes, melody) — NOT recordings
Artistic works	Paintings, drawings, photographs, sculptures, architectural works
Cinematograph films	Movies, documentaries, videos — both visual and sound recordings
Sound recordings	Recordings of music, speech, or any other sounds — separate from the music itself

What Constitutes Copyright Infringement

- Reproducing the work without permission — copying, printing, duplicating.
- Distributing copies — selling, renting, or lending unauthorized copies.
- Publicly performing or broadcasting the work without license.
- Translating or adapting the work without permission.
- Downloading and sharing copyrighted music, movies, or software from the internet.

Remedies for Copyright Infringement

- **Civil remedies:**Injunction (court order to stop infringement), damages (compensation), account of profits, delivery of infringing copies.
- **Criminal remedies:**Under Copyright Act — imprisonment up to 3 years + fine up to Rs. 2 lakh for first offence.
- **Administrative remedies:**Border measures — Customs authorities can seize infringing goods at the border.

TIER 1 — HIGHEST PRIORITY | In graded question bank

Q3. Explain Computer Software Piracy and how it is punished under the IT Act 2000.

> ★ **EXAM TIP: Graded Q3, Q12. Know the types of piracy and specific punishments.**

What is Software Piracy?

Computer Software Piracy is the unauthorized copying, reproduction, distribution, or use of computer software in violation of the software's license agreement and copyright. It is one of the most common forms of copyright infringement globally.

Types of Software Piracy

Type	Description
Softlifting	Installing one licensed copy of software on multiple computers — most common type
Hard disk loading	Selling computers with pre-installed unauthorized software — often done by hardware vendors
Counterfeiting	Duplicating and selling software that appears to be the genuine product
Online piracy	Downloading or distributing software through the internet without authorization
Corporate overuse	Installing more copies of software than the license permits in an organization
Renting	Renting software without the copyright holder's permission

Punishment Under IT Act and Copyright Act

- Under Copyright Act, 1957: Imprisonment of 6 months to 3 years + fine of Rs. 50,000 to Rs. 2 lakh.
- Repeat offenders: Imprisonment not less than 1 year, fine not less than Rs. 1 lakh.
- Under IT Act, 2000 Section 66: Tampering with computer source code — imprisonment up to 3 years OR fine up to Rs. 2 lakh OR both.

TIER 1 — HIGH PRIORITY | In graded question bank

Q4. Explain Copyright Ownership and Assignment. Explain License of Copyright.

> ★ **EXAM TIP: Graded Q1 (license) and Q4 (ownership). Often asked together.**

Copyright Ownership

The first owner of copyright is generally the author/creator of the work. However, there are exceptions:

- **Work made in the course of employment:**The EMPLOYER is the first owner, not the employee.
- **Commissioned work:**The person who commissioned the work (paid for it to be created) may be the owner.
- **Government works:**Copyright in works created by government employees belongs to the Government.
- **Film:**Producer is the first owner of copyright in a cinematograph film.

Copyright Assignment

The owner of copyright can ASSIGN (transfer) the copyright to another person. Assignment must be in writing and signed by the assignor. Assignment can be for whole or part of the copyright, for a limited term, or for a specific territory.

License of Copyright

A copyright license is permission given by the copyright owner to another person to use the copyrighted work without transferring ownership. Unlike assignment, the owner retains copyright.

- **Exclusive license:**Only the licensee can exercise the licensed right — not even the owner can grant same right to another.
- **Non-exclusive license:**Owner can grant same license to multiple parties simultaneously.
- **Compulsory license:**Granted by Copyright Board when owner refuses to allow publication of a work — especially for translations or for the disabled.

TIER 1 — HIGH PRIORITY | In graded question bank

Q5. Explain Meta-tagging and Framing. Explain Downloading, Hyper-linking.

> ★ **EXAM TIP: Graded Q5, Q8. Both are internet-specific copyright issues.**

Meta-tagging

Meta-tagging is the practice of placing certain keywords/words in a website's hidden code (metadata) so that the website appears in search engine results when those words are searched. The description tag contains a description; the keywords tag contains relevant associated keywords.

- Abuse: A company's trademark may be used as a meta-tag by a competitor to divert users to their website.
- Legal issue: Using someone else's trademark as a meta-tag can constitute trademark infringement and unfair competition.

Framing

Framing is the practice of displaying content from another website within a frame on your website, so the user sees your site's URL but the other site's content. This can mislead users about the source of content and may violate copyright.

Hyper-linking

Hyper-linking creates a clickable link from one website to another. Deep linking (linking directly to internal pages of another site, bypassing the home page) can raise copyright and fair use issues.

Downloading for Viewing

Downloading a copyrighted work from the internet without authorization may constitute copyright infringement, even if done privately. However, caching (temporary copies made automatically by browsers) may be permitted under fair dealing exceptions.

TIER 1 — HIGH PRIORITY | In graded question bank

Q6. Describe Napster — A Revolution on the Internet but a Crisis for Copyright Owners.

What was Napster?

Napster was a peer-to-peer (P2P) file sharing service launched in 1999 that allowed users to share MP3 music files directly with each other over the internet for FREE. It had over 80 million registered users at its peak.

Why it was Revolutionary

- First mainstream P2P music sharing platform — democratized access to music.
- Users could search for any song and download it instantly without paying.
- Introduced the concept of sharing digital content between users rather than from a central server.

Why it was a Crisis for Copyright Owners

- Massive copyright infringement — millions of copyrighted songs shared without royalties paid.
- Revenue loss — music industry claimed billions in lost sales.
- Legal battle: Recording Industry Association of America (RIAA) sued Napster for contributory copyright infringement.
- Outcome: US Court of Appeals ruled that Napster infringed copyright — ordered shut down in 2001.
- Legacy: Led to the creation of legal music platforms (iTunes, Spotify) and triggered ongoing debates about digital copyright.

TIER 1 — HIGH PRIORITY | In graded question bank

Q7. Explain Copyright Notice, Disclaimer, and Acknowledgement in the cyber world.

Copyright Notice

A copyright notice informs visitors that the content on a website is protected by copyright law. Typically displayed as: © [Year] [Owner Name]. All Rights Reserved. While not legally mandatory in India, it is strongly recommended as it deters infringement and removes the defense of innocent infringement.

Disclaimer

A disclaimer is a statement that limits or restricts the website owner's liability for the content on their site. Common types:

- **Content disclaimer:**'Information on this site is for general purposes only and not legal/medical advice.'
- **Accuracy disclaimer:**'We make no warranties about completeness, reliability, or accuracy of information.'
- **External links disclaimer:**'We are not responsible for content on external websites linked from our site.'

Acknowledgement

An acknowledgement credits the source of content used on a website. If copyrighted material from another source is used under a license or fair dealing exception, acknowledging the source is both legally important and ethically correct. Failure to acknowledge may constitute plagiarism or copyright infringement.

UNIT 4 — Digital Signatures & E-Taxation

Digital Signatures · Certifying Authorities · DTAA · Permanent Establishment · E-Governance

Most Important Questions | Based on Graded Question Bank Analysis | 2025-26

TIER 1 — HIGHEST PRIORITY | In graded question bank

Q1. What is a Digital Signature? Explain its functions and advantages.

> **★ EXAM TIP: Graded Q3, Q8 — asked from both angles. Know definition, functions, advantages, and how it works.**

What is a Digital Signature?

A Digital Signature is an electronic equivalent of a handwritten signature or seal — it is a mathematical scheme for verifying the authenticity and integrity of electronic documents or messages. Under the IT Act 2000, it is defined as authentication of any electronic record by a subscriber using an asymmetric cryptosystem and hash function.

How a Digital Signature Works

- **Step 1 — Hashing:**A hash function creates a fixed-length digital 'fingerprint' (hash) of the original message.
- **Step 2 — Encryption:**The hash is encrypted using the sender's PRIVATE KEY to create the digital signature.
- **Step 3 — Transmission:**Original document + digital signature is sent to the recipient.
- **Step 4 — Verification:**Recipient decrypts the signature using sender's PUBLIC KEY to get the hash; separately computes hash of received document; if both hashes match — signature is valid.

Functions of Digital Signature

Function	Description
Authentication	Verifies the identity of the sender — only the private key holder could have created the signature
Integrity	Any tampering with the document after signing changes the hash — immediately detectable
Non-repudiation	Signer cannot deny having signed — private key is unique to the signer
Confidentiality	Can be combined with encryption to ensure only intended recipient reads the message

Advantages of Digital Signatures

- Legally recognized under IT Act 2000 — equivalent to handwritten signature.
- Faster than physical signature — no need for physical presence or postal delivery.
- Tamper-evident — any modification to the signed document is immediately detectable.
- Cost-effective — eliminates printing, courier, and storage costs.
- Environmentally friendly — paperless transactions.

TIER 1 — HIGHEST PRIORITY | In graded question bank

Q2. Explain Certifying Authorities and their liability in the event of Digital Signature compromise.

> ★ **EXAM TIP: Graded Q11, Q12. Know the CA's role, liability, and procedure for obtaining DSC.**

What is a Certifying Authority (CA)?

A Certifying Authority (CA) is a trusted third party that issues Digital Signature Certificates (DSC) to verify the identity of individuals and organizations in electronic transactions. Under the IT Act 2000, CAs must obtain a license from the Controller of Certifying Authorities (CCA).

Role of Certifying Authority

- Issue DSCs after verifying the identity of applicants.
- Maintain a repository of all issued, suspended, and revoked certificates.
- Publish Certificate Revocation Lists (CRL) to alert users about invalid certificates.
- Ensure the security of their own private key — if compromised, all certificates issued by CA are suspect.

Procedure to Get a Digital Signature Certificate

- **Step 1:**Applicant selects a licensed Certifying Authority (e.g., eMudhra, NSDL, Sify).
- **Step 2:**Applicant submits application form with identity proof, address proof, and PAN card.
- **Step 3:**CA verifies the applicant's identity — in person or online video verification.
- **Step 4:**CA issues the DSC on a USB token or sends it electronically.
- **Step 5:**DSC is valid for 1-2 years and must be renewed thereafter.

Liability of CA in Case of DSC Compromise

- If CA's private key is compromised — CA must immediately revoke ALL certificates issued using that key.
- CA is liable for damages if it issues a certificate knowing the information is false.
- CA must pay compensation if it fails to revoke a compromised certificate promptly.
- Under IT Act: A person who publishes a DSC knowing CA has not issued it — liable to imprisonment up to 2 years OR fine up to Rs. 1 lakh OR both.

TIER 1 — HIGHEST PRIORITY | In graded question bank

Q3. What do you mean by Permanent Establishment? Why is it important for determining tax liability?

> ★ **EXAM TIP: Graded Q6, Q13. Critical for international e-commerce taxation — know both PE and DTAA together.**

What is Permanent Establishment (PE)?

Permanent Establishment (PE) is a tax concept that determines whether a foreign company has a sufficient physical or economic presence in a country to be subject to that country's income tax laws. A business is said to have a PE in a country if it has a fixed place of business there through which it carries on business.

Types of Permanent Establishment

Type	Description	Example
Fixed place PE	A fixed place of business in a foreign country	A company's office, factory, workshop, or warehouse abroad
Agency PE	An agent in a foreign country who habitually concludes contracts on behalf of the company	A sales representative in India who regularly signs contracts for a US company
Construction PE	A construction or installation project that lasts more than a specified period (usually 6-12 months)	A foreign company building a dam in India for 18 months
Service PE	Providing services in another country for more than a specified period	Foreign IT company's employees working in India for more than 6 months

Why PE is Important in E-Commerce

- Without PE: Foreign companies can sell to Indian customers online without paying Indian income tax — loss of revenue for India.
- With PE established: The foreign company must pay income tax on profits attributable to its Indian operations.
- Challenge: Digital businesses operate without physical offices — making traditional PE rules inadequate for the internet economy.

TIER 1 — HIGH PRIORITY | In graded question bank

Q4. Write a short note on Double Taxation Avoidance Agreement (DTAA).

> **★ EXAM TIP: Graded Q7. Also know the difference between Business Income and Royalty under DTAA.**

What is DTAA?

A Double Taxation Avoidance Agreement (DTAA) is a tax treaty between two countries that prevents the same income from being taxed TWICE — once in each country. It allocates taxing rights between the two countries and provides relief from double taxation for individuals and companies doing international business.

How DTAA Works

- Without DTAA: A US company earning income in India pays tax in India AND again pays tax in the US on the same income.
- With DTAA: India-USA DTAA specifies which country taxes which type of income — preventing double taxation.
- Relief methods: (1) Exemption method — income taxed in one country is exempt in the other. (2) Credit method — tax paid in one country is credited against tax liability in the other.

Business Income vs Royalty under DTAA

Aspect	Business Income	Royalty
Definition	Profits from regular business operations — buying, selling, manufacturing	Payment for use of intellectual property — patents, copyrights, trademarks, software
PE requirement	Taxed in source country ONLY if PE exists there	Taxable in source country regardless of PE — withholding tax applies
Tax treatment	Lower rates — benefits from PE threshold	Higher withholding tax rates typically applied
E-commerce example	Revenue from selling products online	Licensing fees for software or digital content

TIER 1 — HIGH PRIORITY | In graded question bank

Q5. Explain E-Governance in India. What is its impact?

> ★ **EXAM TIP: Graded Q4. Know the key e-governance initiatives and the warning to 'Babudom' (bureaucracy).**

What is E-Governance?

E-Governance is the application of Information and Communication Technology (ICT) to deliver government services, exchange information, communicate transactions, and integrate various stand-alone systems between government-to-citizens (G2C), government-to-business (G2B), and government-to-government (G2G) interactions.

Benefits of E-Governance

- **Transparency:**All government transactions recorded electronically — reduces corruption and manual manipulation.
- **Efficiency:**Eliminates paper-based processes — faster service delivery.
- **Accessibility:**Citizens can access government services 24/7 from anywhere.
- **Cost reduction:**Reduces operational costs for government — fewer manual staff needed.
- **Accountability:**Electronic records create audit trails — officials cannot hide wrongdoing.

'Warning to Babudom' — Impact on Bureaucracy

E-Governance is a threat to traditional bureaucratic ('Babu') culture because: electronic systems eliminate the power of clerks and officials to delay files for bribes; citizens can track their applications online — no more 'come back tomorrow'; decisions are recorded and auditable — discretionary power is reduced. This is the 'warning to Babudom' — adapt or become obsolete.

Key E-Governance Initiatives in India

- Aadhaar — biometric identity system linking citizens to government services.
- DigiLocker — secure cloud storage for digital documents (driving license, degree certificates).
- GSTN — Goods and Services Tax Network for e-filing of GST returns.

- MCA21 — Ministry of Corporate Affairs portal for company registrations.

TIER 1 — HIGH PRIORITY | In graded question bank

Q6. Explain the impact of the Internet on Custom Duties. Write a note on UN Model Tax Treaty.

Impact of Internet on Custom Duties

Traditional customs duties are levied on physical goods crossing national borders. The internet has created challenges because:

- Digital goods (software, music, e-books, videos) cross borders electronically without physical inspection.
- No physical goods = no traditional basis for customs duty — creating a 'digital duty-free' zone.
- Moratorium: WTO members agreed in 1998 to a moratorium on customs duties on electronic transmissions — renewed periodically.
- Developing countries lose revenue: Countries that import digital goods (like India) lose customs revenue on digital product imports.
- Classification challenge: Is downloaded software a 'good' (subject to import duty) or a 'service' (subject to service tax)? — Debate ongoing.

UN Model Tax Treaty

The United Nations Model Double Taxation Convention is a framework treaty for tax agreements between developed and developing countries. Key features:

- Gives SOURCE COUNTRY (developing nation) more taxing rights — beneficial for India.
- Broader definition of royalties and technical services — ensures digital payments are taxable in India.
- Contrasted with OECD Model Treaty which favors RESIDENCE country (developed nations).
- India generally prefers UN Model as it gives India more taxing rights over foreign companies operating in India.

TIER 1 — HIGH PRIORITY | In graded question bank

Q7. Explain the taxation policies in India for e-commerce.

Key Taxation Provisions for E-Commerce in India

Tax	Description	Applicability to E-Commerce
Income Tax	Tax on profits earned — based on residential status and PE	Foreign e-commerce companies with PE in India pay income tax
GST (Goods & Services Tax)	18% on digital services sold to Indian customers	Foreign Netflix, Spotify, app stores must register for GST in India
Equalisation Levy	2% on cross-border digital advertising services (B2B); 2% on e-commerce operator gross receipts	Amazon, Google, Facebook pay Equalisation Levy in India

Tax	Description	Applicability to E-Commerce
TDS on Digital Transactions	Tax Deducted at Source on payments to service providers	Platform to seller payments subject to TDS under Section 194O
Withholding Tax on Royalties	10-15% withholding tax on royalties paid to foreign companies	Software licensing payments to foreign companies attract withholding tax

UNIT 5 — Evidence, Consumer Protection & IT Act Amendments

Electronic Evidence · Consumer Protection Act · IT Act Amendments · Digital Signature · Bankers Books

Most Important Questions | Based on Graded Question Bank Analysis | 2025-26

TIER 1 — HIGHEST PRIORITY | In graded question bank

Q1. Explain the probative value of electronic evidence. What are different types of evidence?

> ★ **EXAM TIP: Graded Q1, Q7. Know the types of evidence and how electronic evidence is treated under Indian Evidence Act.**

Types of Evidence

Type	Description	Example
Oral Evidence	Statements made by witnesses in court — must be direct and first-hand	Witness saying 'I saw the accused hacking'
Documentary Evidence	Documents produced in court to prove facts	Emails, contracts, electronic records, printouts
Electronic Evidence	Data stored/transmitted in electronic form — treated as documentary evidence	Computer files, emails, WhatsApp messages, CCTV footage
Primary Evidence	Original document itself produced in court	Original signed agreement
Secondary Evidence	Copy or oral description of the original document	Certified copy of an electronic record

Probative Value of Electronic Evidence

Probative value refers to the ability of evidence to prove a fact in court. Electronic evidence has HIGH probative value IF it meets the requirements of Section 65B of the Indian Evidence Act, 1872 (as amended by IT Act 2000).

Section 65B Certificate Requirements for E-Evidence

- The computer output must have been produced by a computer regularly used by the person/organization.
- The computer was operating properly during the relevant period.
- The information was fed into the computer in the ordinary course of activities.
- A certificate signed by a responsible official must accompany the electronic evidence stating: which computer produced the record, the manner of production, and that the computer was functioning properly.
- WITHOUT Section 65B certificate: Electronic evidence is generally NOT admissible in court.

TIER 1 — HIGHEST PRIORITY | In graded question bank

Q2. Discuss the objectives and key provisions of the Consumer Protection Act 1986.

> ★ **EXAM TIP: Graded Q9, Q12. Know the 6 consumer rights, who can file complaint, and the 3-tier redressal system.**

Objectives of Consumer Protection Act, 1986

- Protect consumers from unfair trade practices and exploitation.
- Ensure consumers receive goods and services of satisfactory quality.
- Provide simple, speedy, and inexpensive redressal of consumer disputes.
- Establish consumer protection councils at national, state, and district levels.

Six Consumer Rights Under the Act

Right	Description
Right to Safety	Protection against goods and services hazardous to life and property
Right to Information	Right to know about quality, quantity, purity, standard, and price of goods
Right to Choose	Right to access variety of goods at competitive prices
Right to be Heard	Right to have consumer interests represented and heard
Right to Redressal	Right to seek redressal against unfair trade practices or exploitation
Right to Consumer Education	Right to be educated about consumer rights and responsibilities

Three-Tier Consumer Dispute Redressal System

Forum	Jurisdiction	Appeals to
District Consumer Forum	Claims up to Rs. 20 lakh (now Rs. 1 crore under 2019 Act)	State Commission
State Consumer Commission	Claims Rs. 20 lakh to Rs. 1 crore (now Rs. 1 crore to Rs. 10 crore)	National Commission
National Consumer Commission (NCDRC)	Claims above Rs. 1 crore (now Rs. 10 crore)	Supreme Court

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TIER 1 — HIGHEST PRIORITY | In graded question bank

Q3. Discuss the amendments in IT Act 2000. Explain amendments to Indian Evidence Act 1872.

> ★ **EXAM TIP: Graded Q4, Q11. Know key amendments and how they affect electronic records and evidence.**

Key Amendments to the IT Act 2000 (IT Amendment Act 2008)

- **Section 66A (struck down by SC 2015):**Punishment for sending offensive messages through communication services — was misused for free speech suppression.
- **Section 66B-66F:**Added new offences — identity theft (66C), cheating by impersonation (66D), violation of privacy (66E), cyber terrorism (66F).
- **Section 67A:**Punishment for publishing sexually explicit material — imprisonment up to 5 years + fine.
- **Section 67B:**Punishment for child pornography — imprisonment up to 7 years + fine.
- **Section 69:**Power to intercept, monitor, and decrypt information by government in interest of national security.
- **Section 79 (Safe harbour):**Intermediaries (WhatsApp, Google) not liable for third-party content IF they exercise due diligence and comply with government orders.

Amendments to Indian Evidence Act 1872 by IT Act 2000

- **Section 3:**Definition of 'evidence' expanded to include electronic records — electronic documents are now admissible as documentary evidence.
- **Section 22A (new):**Oral admissions regarding contents of electronic records are not relevant unless the genuineness of the record is in question.
- **Section 47A (new):**Opinion of Certifying Authority relevant as expert opinion on Digital Signature.
- **Section 65A:**Contents of electronic records may be proved in accordance with the provisions of Section 65B.
- **Section 65B:**Electronic record produced by computer is admissible as evidence IF accompanied by a certificate from a responsible official verifying authenticity.
- **Section 85A:**Presumption that electronic agreements are concluded — if Digital Signature is affixed.
- **Section 85B:**Presumption that Electronic Records and Digital Signatures are genuine and secure.

TIER 1 — HIGH PRIORITY | In graded question bank

Q4. Explain proving of Digital Signature in court. How is a Digital Signature provided?

> **★ EXAM TIP: Graded Q2, Q6. Know the legal provisions under Evidence Act for proving and providing digital signatures.**

Proving a Digital Signature in Court

Under Section 47A of the Indian Evidence Act (inserted by IT Act 2000), the opinion of a Certifying Authority is relevant when the court has to form an opinion as to the Digital Signature of any person.

Presumptions About Digital Signatures (Evidence Act)

- **Section 85A:**Presumes that digital contracts are validly concluded — affixing a digital signature to a document implies consent to the terms.
- **Section 85B:**Presumes that an electronic record has not been altered since the Digital Signature was affixed — and that the signature was affixed by the subscriber.
- **Section 85C:**Presumes that a Digital Signature Certificate is accurate in all material respects.

How a Digital Signature is Provided/Affixed

- **Step 1:**Subscriber obtains a Digital Signature Certificate (DSC) from a licensed Certifying Authority.

- **Step 2:**Subscriber uses their PRIVATE KEY (stored on a USB token) to digitally sign a document.
- **Step 3:**The signing software creates a hash of the document and encrypts it with the private key.
- **Step 4:**The signed document (document + digital signature) is sent to the recipient.
- **Step 5:**Recipient verifies the signature using the signer's PUBLIC KEY from the DSC.

TIER 1 — HIGH PRIORITY | In graded question bank

Q5. What are defects in goods and deficiencies in services under Consumer Protection Act?

> ★ **EXAM TIP: Graded Q5. Know the exact definitions and examples of defects and deficiencies.**

Defects in Goods

Under Consumer Protection Act, 1986: 'Defect' means any fault, imperfection, or shortcoming in the quality, quantity, potency, purity, or standard which is required to be maintained by or under any law, or as is claimed by the trader in any manner whatsoever in relation to any goods.

Examples of Defects in Goods

- A refrigerator that does not cool properly despite being new.
- Food product that contains impurities or does not meet quality standards.
- Medicine that does not contain the stated potency or purity.
- Car with faulty brakes manufactured due to production defect.

Deficiency in Services

'Deficiency' means any fault, imperfection, shortcoming, or inadequacy in the quality, nature, and manner of performance which is required to be maintained by or under any law or has been undertaken to be performed by a person in pursuance of a contract or otherwise.

Examples of Deficiency in Services

- A hospital failing to provide adequate medical care resulting in patient harm.
- An insurance company wrongfully rejecting a valid claim.
- A builder failing to provide possession of a flat on the agreed date.
- A telecom company charging for services not provided.
- An airline denying boarding to a passenger with a valid ticket.

TIER 1 — HIGH PRIORITY | In graded question bank

Q6. Explain Goods and Services under Consumer Protection Act. Who is a Consumer?

Definition of Goods

'Goods' means every kind of movable property other than actionable claims and money, and includes stocks and shares, growing crops, grass, and things attached to or forming part of the land which are agreed to be severed before sale or under the contract of sale.

Definition of Services

'Service' means service of any description which is made available to potential users and includes the provision of facilities in connection with banking, financing, insurance, transport, processing, supply of electrical or other energy, board or lodging, entertainment, amusement, or the purveying of news or information.

Who is a Consumer?

Context	Consumer Definition
Goods	A person who buys goods for personal use — NOT for resale or commercial purposes
Services	A person who hires or avails of services for consideration — for personal use, not for commercial purposes
Beneficiaries	Any person who uses goods or services with the permission of the buyer is also a consumer
E-Commerce	A person who purchases goods/services online is a consumer — online retailers are subject to CPA

TIER 1 — HIGH PRIORITY | In graded question bank

Q7. Explain amendments to Bankers Books Evidence Act 1891 and RBI Act 1934 by IT Act 2000.

> ★ **EXAM TIP: Graded Q14. Know how IT Act amended these two banking laws to recognize electronic records.**

Amendments to Bankers Books Evidence Act, 1891

The IT Act 2000 amended the Bankers Books Evidence Act to recognize electronic banking records as valid evidence in court.

- Printed statements from computerized banking systems are now admissible as evidence.
- Banks can produce certified printouts of electronic records as primary evidence.
- A bank official's certificate that the printout is from computerized records is sufficient — no need to produce the original computer.
- Definition of 'Bankers Books' expanded to include printouts of data stored in computer systems, floppy discs, magnetic cartridges, tapes, or any other form of electromagnetic data storage device.

Amendments to Reserve Bank of India Act, 1934

The IT Act amended the RBI Act to enable the central bank to carry out its functions electronically:

- Authorized RBI to issue electronic clearing instructions and payment orders.
- Electronic funds transfer systems (NEFT, RTGS) given legal recognition.
- Digital signatures on RBI communications and directives are legally valid.
- Enables RBI to regulate and supervise electronic payment systems and online banking operations.

MASTER CHEAT SHEET — ALL 5 UNITS

Key Definitions & Quick Revision — ITACL Cyber Laws

Term	One-Line Definition
Cyber Crime	Act committed on/through internet, prohibited by law, punishable monetarily or corporally
Section 80 IT Act	Empowers DSP to arrest without warrant from PUBLIC places only — widely criticized as inadequate
Cognizable Offence	Offence where police CAN arrest without warrant — FIR registered — State prosecutes
Non-Cognizable Offence	Offence where police CANNOT arrest without warrant — complaint filed in Magistrate's court
FIR	First Information Report — written record of cognizable offence filed at police station
Hacking (Sec 66)	Unauthorized access to computer system — punishable: 3 years OR Rs. 2 lakh OR both
Cyber Pornography (Sec 67)	Publishing obscene material electronically — 5 years + Rs. 1 lakh (first conviction)
Contract	Agreement enforceable by law — Section 2(h) Indian Contract Act, 1872
Click-Wrap Contract	Online agreement formed by clicking 'I Accept' on a website
Shrink-Wrap Contract	License agreement inside software box — accepted by opening the package
Cause of Action	Facts giving a person the right to seek judicial relief in court
Cyber Squatting	Registering domain name of another's trademark to extort money — UDRP provides resolution
Meta-tagging	Placing competitor's trademark in website metadata to divert their web traffic
Copyright	Legal right protecting original literary, artistic, musical, dramatic, and software works
Software Piracy	Unauthorized copying, distribution, or use of copyrighted software
Digital Signature	Electronic signature using asymmetric cryptography — verifies authenticity and integrity
Certifying Authority (CA)	Licensed body that issues Digital Signature Certificates after identity verification
DSC	Digital Signature Certificate issued by CA — contains public key and identity details
Permanent Establishment	Sufficient physical/economic presence of foreign company in a country to create tax liability
DTAA	Double Taxation Avoidance Agreement — treaty between two countries to prevent same income being taxed twice
Equalisation Levy	2% levy on cross-border digital advertising and e-commerce transactions in India

Term	One-Line Definition
E-Governance	Application of ICT to deliver government services electronically to citizens and businesses
Electronic Evidence	Data stored/transmitted electronically — admissible under Section 65B Indian Evidence Act
Section 65B Certificate	Certificate from responsible official required to admit electronic evidence in court
Consumer	Person who buys goods or avails services for personal use — not for resale or commercial purpose
Defect in Goods	Fault in quality, quantity, purity, or standard of goods that should be maintained by law
Deficiency in Service	Inadequacy in quality or manner of service performance required by law or contract
Consumer Forum	Three-tier dispute redressal: District Forum → State Commission → National Commission (NCDRC)
Napster	P2P music sharing service shut down in 2001 for massive copyright infringement
Bankers Books Evidence Act	Amended by IT Act 2000 to recognize electronic banking records as valid court evidence